

How ETFs Changed Investing Forever

Here's a confession: I used to think investing was for other people.

You know the type. Spreadsheets. Wall Street jargon. Enough money to buy a small house before you could even get started.

Then I discovered ETFs. And everything changed.

Not because I got smarter. Because someone finally made investing simple.

Here's what I mean.

The Old Way (It Wasn't Pretty)

Before ETFs, if you wanted a diversified portfolio, you had three options, and none of them were great.

Option one: Buy individual stocks. Want to own the S&P 500? That's 500 separate purchases. Each one costs a commission. Each one needs research. And if you're starting with \$1,000, good luck. You can afford maybe two or three companies. That's not diversified. That's gambling.

Option two: Buy a mutual fund. Better diversification, sure. But mutual funds came with baggage. You could only trade at the end of the day. Many had high fees—1% or more annually. And some required minimum investments of \$3,000, \$5,000, even \$10,000. That locked out anyone just getting started.

Option three: Do nothing. Which is what most people did.

That wasn't a lack of interest. It was a lack of access.

Then Came the ETF

An ETF is stupidly simple.

Instead of buying 500 stocks one by one, you buy one thing. That one thing owns all 500. You get the diversification without the headache. You can buy or sell it anytime the market is open—just like a regular stock.

Let me give you a real example.

In 2024, Vanguard's Total Stock Market ETF (ticker: VTI) held nearly 4,000 different stocks. The price per share? Around \$250. For less than the cost of a nice dinner, you could own a slice of almost every public company in America.

That's insane. That's also revolutionary.

Why Diversification Actually Matters (Not Just Theory)

Here's why this matters in real life.

Imagine you put \$1,000 into a single company in 2020. Let's say a travel company. Then COVID hit. That stock might have dropped 70%. You lose \$700. Ouch.

Now imagine you put that same \$1,000 into an ETF that owned hundreds of companies—travel, tech, healthcare, retail, energy. When travel stocks crashed, tech stocks (think Zoom, Amazon) surged. Your overall portfolio might have dropped 10% or even gone up.

You didn't need to predict which sector would win. The diversification did the work for you.

That's the point. ETFs let you stop guessing and start owning.

The Fee Thing Nobody Talks About Enough

Here's a dirty secret of old-school investing: fees destroy returns.

Let me show you.

You invest \$10,000 for 30 years. You earn 7% annually. No fees? You end up with about \$76,000.

Now add a 1% annual fee (common for actively managed mutual funds). Your ending balance drops to about \$57,000. That 1% fee cost you \$19,000.

Most ETFs charge a fraction of that. You can find broad-market ETFs with fees as low as 0.03% to 0.10%. On that same \$10,000 over 30 years, you keep almost all of the \$76,000.

Lower fees mean more compounding. More compounding means more wealth. It's not complicated.

How ETFs Changed My Own Investing

I'll be honest. When I started, I had no idea what I was doing.

I opened a brokerage account with \$500. I couldn't afford to buy 10 different stocks. I definitely couldn't afford a mutual fund's \$3,000 minimum.

But I could afford one share of an S&P 500 ETF.

That one purchase gave me exposure to Apple, Microsoft, Amazon, Nvidia, and 496 other companies. For \$500. No commission. No advisor. No minimum.

That's not a small improvement. That's a completely different game.

The Specialized Stuff (Proceed with Caution)

Not every ETF is a boring broad-market fund. There are ETFs for everything:

- **Sector ETFs** – Just tech stocks. Just healthcare. Just energy.
- **Thematic ETFs** – Clean energy, robotics, cybersecurity, video games.
- **Leveraged ETFs** – Designed to return 2x or 3x the daily market move (very risky).
- **Inverse ETFs** – Betting against the market (even riskier).

Here's my advice: ignore most of these until you really know what you're doing.

The boring ETF—total market, S&P 500, or developed international—is all most people need. The specialized stuff sounds exciting, but it also concentrates risk. And concentration is the opposite of what made ETFs powerful in the first place.

The Risks (Because Nothing Is Perfect)

I'd be lying if I said ETFs have no downsides.

First, they can go down. An S&P 500 ETF dropped about 20% in 2022. If you sold then, you locked in losses. If you held, you've likely recovered plus some. ETFs don't protect you from market crashes. They just make it cheaper to ride them out.

Second, some ETFs are gimmicks. There are ETFs that track “meme stocks,” crypto-related companies, or highly speculative themes. These often come with higher fees and higher risks. Read the prospectus. Know what you own.

Third, trading too much is tempting. Because ETFs trade like stocks, some people treat them like stocks—buying and selling based on daily news. That's a great way to lose money. ETFs work best when you buy and hold.

Why ETFs Won (And Aren't Going Away)

Here's the simple truth.

Before ETFs, investing was complicated, expensive, and intimidating.

After ETFs, investing became simple, cheap, and accessible.

That's not a small shift. That's the difference between millions of people staying on the sidelines versus building real wealth over time.

As of 2025, ETFs hold over \$12 trillion globally. That number keeps growing because the product works. It's not a fad. It's not a marketing gimmick. It's a genuinely better way to invest.

The Bottom Line

You don't need to be a finance professional. You don't need a pile of cash. You don't need to pick winning stocks.

You need one ETF, a low-cost broker, and the discipline to keep buying regularly.

That's it.

Twenty years ago, that statement would have sounded ridiculous. Today, it's just common sense.

ETFs changed investing forever. Not because they're magic. Because they finally made investing work for normal people.

And that's a change worth celebrating.